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Aetna Shuts Off Funds To Cowichan's Sunro Mine

By MICHAEL COBB
Sun Business Writer

Aetna Investment Corp. Ltd. today said it will not put any more money into the Sunro mine of Cowichan Copper Co. Ltd.

The announcement was made after trading in Cowichan was suspended on Toronto Stock Exchange at the opening this morning.

The exchange lifted the suspension when Aetna made a public statement on its future plans for the mine on Vancouver Island.

OSSIE MacDONALD
. . . Cowichan president

This release said: "In the light of geological and other technical information and changes in the price of copper this company has decided that any further advances to Cowichan would be unwarranted."

DOWN 12

The stock, which was not suspended in Vancouver, came back on the TSE board at 18 cents, down 12 cents from Tuesday's close.

Aetna president Mark Tanz of Toronto could not be reached to explain whether the announcement means the mine will be closed down.

Aetna, which was then named Sheep Creek Mines, took over the flood-struck mine last year.

It said it would loan Cowichan $850,000 to get the mine back into production and assumed management of the property.

The loan, which is secured by a mortgage debenture, was to be repaid from production with Aetna also receiving a management fee of five per cent of money earned through sale of concentrates.

MINE FLOODED

In addition, Aetna was given 200,000 shares of Cowichan and options to buy up to another 600,000 shares.

The mine resumed production in December, 1965, two years after it had been shut down when the Jordan River smashed its way into the workings and flooded the mine.

J. S. McIntosh, the man Aetna put in as managing director of Cowichan, predicted in January the property would yield a $1.7 million profit by the end of August.

Instead, production at the end of July showed a $264,000 loss.

In today's announcement, Aetna said it had fulfilled its obligations by loaning $850,000 and had also advanced an additional $100,000 but would supply no more funds.

MANAGEMENT HIT

Ossie MacDonald, Cowichan president, said in Vancouver today: "Tight money and mismanagement seem to have caught up with Aetna."

He added: "As far as we are concerned they have got management control of the mine until 1968. They have responsibilities to the creditors and employees and will have to stick with these responsibilities."

MacDonald said Cowichan would consider taking over management of the mine if Aetna gave the company back its collateral — "and got the hell out of the way."

"The way this mine has been managed is a crime," he said.

He said the question of how Cowichan pays back the loan has still to be settled.

Copper produced at Sunro has been sold at London Metal Exchange prices.

'GOOD PROPERTY'

MacDonald said: "If they can't make money with 50-cent copper when we were showing a profit when copper was 29 cents a pound something is wrong. I am not finished and neither is the mine. It is a good property."

MacDonald said Aetna had bought 200,000 Cowichan shares at 45 cents a share, 200,000 shares at 75 cents and 75,000 shares at $1 a share earlier in the year.

He said: "Unless Aetna gives us our collateral back and takes the position of being just an ordinary creditor there is no point in us attempting anything."

The annual meeting of Aetna will be held in Vancouver Sept. 20.

Aetna's annual report shows profits for the year ended May 31 were $290,530, or 15.3 cents a share.

Included in the financial report is a profit of $486,318 from the sale of investments.

The Sunro mine is owned by Cominco Ltd. and is mined by Cowichan on a royalty basis.

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DIVIDEND NOTICE
The Board of Directors of Alberta Natural Gas Company at a meeting held on the twelfth day of September, 1966, declared a dividend of twenty cents per share on the outstanding shares of the Company payable on and after the thirtieth day of September, 1966, to shareholders of record at the close of business on the twenty-first day of September, 1966.
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